THE NATIONAL COMPANY LAW TRIBUNAL

PRINCIPAL BENCH,

AT NEW DELHI

COMPANY PETITION NO. (CAA)-94 (PB) /2018

Under Section 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

In the matter of

Scheme of Amalgamation

of

Aman Polychem Private Limited

..... Transferor Company

WITH

Vikas Organics Private Limited

.....Transferee Company

Judgment delivered on: 01.03.2019

CORAM:

CHIEF JUSTICE (Rtd.) M.M. KUMAR, Hon'ble President

S. K. MOHAPATRA, Hon'ble Member (T)

For Petitioners	: Mr. Sougat Sinha, Adv.
	: Mr. Manoj Kumar, Adv.
For Regional Director, (NR), Delhi	: Ms. Sonam Sharma, CP
For Official Liquidator	: M. Shubham Pandey, Adv.
For Income Tax Department	: Mr. Ajit Sharma, Adv.
	: Mr. Ashutosh Sengar, Adv.

ORDER

S. K. Mohapatra, Member

1. This Joint petition has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of the Transferor Company into Transferee Company. A copy of the Scheme of Amalgamation (hereinafter referred as "Scheme") has been placed on record.

2. The "transferor company", M/s Aman Polychem Private Limited was incorporated on 08.03.1983 under the provisions of companies Act, 1956 having its registered office at 34/1 East Punjabi Bagh, New Delhi- 110026.

3. The "transferee company", M/s Vikas Organics Private Limited was incorporated on 01.09.1992 under the provisions of Companies Act, 1956 having its registered office 34/1 East Punjabi Bagh, New Delhi- 110026.

4. A perusal of the petition discloses that initially the First Motion joint application seeking direction for dispensing/convening the meeting of Shareholders and Creditors was filed before this Bench vide CA (CAA) No. 29 (PB) 2018 and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, the meetings of Equity Shareholders, secured creditors and unsecured creditors of both the Petitioner Companies were dispensed with, vide order dated 04.07.2018 passed by this Bench.

5. On 18.07.2018 the Petitioners were directed to carry out publication in the newspapers 'Business Standard' English Delhi edition as well as in 'Jansatta' Hindi Delhi edition. In addition to the public notice, notices were directed to be served on to the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, the official liquidator, the Income Tax Department and to the other relevant sectoral regulators.

10. It is seen from the records that the Petitioners have filed an affidavit dated 20.08.2018 affirming compliance of the order passed by the Tribunal dated 18.07.2018. A

perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in one issue of the 'Business Standard' English edition on 02.08.2018 as well as in 'Jansatta' Hindi edition again on 02.08.2018 in relation to the date of hearing of the petition. Further, the petitioners have also affirmed that the copies of petition have been duly served to the Registrar of Companies, Regional Director, Northern Region, and Income Tax Department in compliance of the order and in proof of the same acknowledgement made by the respective offices have also been placed on record. The petitioner companies further have affirmed that there are no other sectoral regulator applicable to the present Scheme and hence no additional notice has been served to any other sectoral regulator.

6. The Regional Director has filed its report dated 10.12.2018 in which it has been submitted that:

> *"Refer to clause 4 of the proposed scheme, it is submitted that the Transferee company may be advised to comply with the provisions of section*

232(3)(B)(i) r/w 233 (11) r/w 233 (12) of the Companies Act 2013."

7. In response to the aforementioned observation of the Regional Director, the petitioner companies have filed suitable undertaking by way of affidavit dated 13.11.2018 and submitted that:

> *"3. That I on behalf of the petitioner companies, hereby, undertake to comply with the provisions of Section 232 (B)(i) read with Section 233 (11) and 233 (12) of the Companies Act, 2013 and pay applicable additional fee for addition of the authorized share capital of the transferor company with that of the transferee company and further undertake to abide by such directions as this Hon'ble Tribunal may issue for the compliance of the abovementioned provisions of the Companies Act, 2013."*

8. The Official Liquidator has filed its report on 28.08.2018, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the official liquidator has not received any complaint against the proposed Scheme from any person/party interested in the

Scheme in any manner and that the affairs of the transferor company does not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

9. Ld. Counsel for the department of Income Tax has filed its report dated 31.08.2018 in which they have submitted that there is a demand of Rs. 122/- pending in the case of Transferee Company. Since the transferee company after approval of the Scheme will be in existence, the meagre outstanding demand can be recovered in accordance with law.

10. It is pertinent to mention here that at the time of final hearing on 10.01.2019, Ld. Company Prosecutor for Regional Director has stated that the observations made in the report by regional director stand fully satisfied by the reply of the petitioners. Further on behalf official liquidator it is submitted that there is no objection. The same fact has been duly recorded in the order dated 10.01.2019.

11. Be that as it may, in order to protect the interest of the revenue it is further made clear that there shall be no limitation on the power of the Income tax Department for

recovery of pending Income Tax dues if any from petitioner companies, including imposition of penalties etc. as provided in law.

12. The shareholders of the petitioner companies are the best Judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by Tribunal for the reason that it is not a part of judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme of which sanction is sought under Section 230 to 232 of the Companies Act, 2013 will not ordinarily interfere with the corporate decisions of companies approved by their shareholders and creditors.

13. It is also pertinent to note that right to apply for the sanction of the Scheme has been statutorily provided under Section 230 to 234 of the Companies Act, 2013 and therefore, it is open to the petitioner companies to avail the benefits extended by statutory provisions and the Rules.

14. In the joint petition it has been affirmed that no proceedings under Section 210 to 227 of the Companies

Act, 2013 are pending against any of the Petitioner Companies.

15. The petitioner companies by way of affidavit dated 20.08.2018 have also affirmed that no objection in respect of the Scheme has been received by the companies or their advocate till the date of filing of the affidavit.

16. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

17. It has been also affirmed by the petitioner companies that the Scheme is in the interest of both the petitioner companies, their shareholders, creditors, employees and all concerned.

18. In view of the foregoing, upon considering the approval accorded by the members and creditors of both the Petitioner companies to the proposed Scheme, and the affidavit filed by the Regional Director, Northern Region,

Ministry of Corporate Affairs, Department of Income Tax and no objection of Official Liquidator, there appears to be no impediment in sanctioning the present Scheme.

19. *Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.*

20. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

21. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

22. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any

permission/compliance with any other requirement which may be specifically required under any law.

23. **THIS TRIBUNAL DO FURTHER ORDER**

- That the Transferor Company shall stand dissolved without following the process of winding-up; and
- That all the property, rights and powers of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company.
- That all the liabilities and duties of the Transferor Company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and
- That all proceedings now pending by or against the Transferor Company, be continued by or against the transferee company; and

- That all the employees of the Transferor Company in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the transferee company on such date without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the transferor company on the said date.

- That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the transferor company shall be dissolved and the Registrar of Company shall place all documents relating to the transferor company registered with him on the file kept by him in relation to the transferee company and the files relating to both the petitioner companies shall be consolidated accordingly; and

- That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(M.M. KUMAR)

PRESIDENT

Sd/-

1/3/2019

(S. K. MOHAPATRA)

MEMBER (T)

Pronounced today under Rule 151 of the NCLT Rules 2016 as Hon'ble President, Chief Justice (Rtd.) Sh. M.M. Kumar, is not holding Court today.

01/03/19

(Nirmala Vincent)
Court Officer

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